



Collateral Source Rule

Overview

Under the collateral source rule, benefits received by the complainant from a source other than the agency cannot be used to reduce the agency's liability for damages. Thus, if a complainant incurs expenses as a direct result of an agency's discrimination and those expenses are covered by another entity, the agency can still be held liable for the full amount of the expenses.

This Quick Start Guide covers the following Key Points:

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5. [Workers' compensation benefits](#)
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Key Points

These key-point summaries cannot reflect every fact or point of law contained within a source document. For the full text, follow the link to the cited source. The references to **Hadley** in this Quick Start Guide are to federal employment law expert Ernest Hadley's treatise, *A Guide to Federal Sector Equal Employment Law and Practice* (Dewey Publishing, Inc.), to which **cyberFEDS®** has exclusive Web rights.

In general

- "Benefits received by a complainant from a source collateral to the agency may not be used to reduce the agency's liability for damages." *Hem v. Department of Agriculture*, [108 LRP 16824](#), EEOC No. 0720060012 (EEOC OFO 2008).
- If a complainant receives benefits from a source collateral to an agency, those benefits cannot be used to reduce the agency's liability for damages. The agency was required to pay for all the medical costs the complainant incurred as a result of the agency's discrimination, even though the complainant's medical insurance covered some of his medical expenses. *Wallis v. U.S. Postal Service*, [96 FEOR 3044](#), EEOC No. 01950510 (EEOC 1995).
- **Hadley**: In *Wallis v. U.S. Postal Service*, [96 FEOR 3044](#), EEOC No. 01950510 (EEOC 1995), the EEOC reasoned that medical benefits paid by a health insurance plan could not be used as an offset against a medical expense damage award because the source of funds was separate and distinct from the general treasury, and because health insurance is provided as a fringe benefit of employment and not as a substitute for legal liability. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Collateral Source Rule](#).
- "Under the collateral source rule, an agency may not reduce its liability for damages because of payments made to a complainant from a collateral source. Complainant is required only to prove that she incurred the expenses to establish her entitlement to a corresponding damage award. She need not make the additional showing that she paid the expense." *Mica B. v. General Services Administration*, [120 LRP 25288](#), EEOC Nos. 2019000424, 2019001054 (EEOC OFO 2020).
- In explaining the collateral source rule, the EEOC has cited the 5th Circuit decision in *Davis v. Odeco, Inc.*, [94 FEOR 90011](#), 18 F.3d 1237 (5th Cir. 1994). In that case, the EEOC noted the Circuit Court's explanation that "the determination whether a source of compensation is 'collateral' to the employer depends on whether the benefit derived from that source is in the nature of a 'fringe benefit,' or instead reflects an attempt by the employer to limit its potential legal liability." *Wallis v. U.S. Postal Service*, [96 FEOR 3044](#), EEOC No. 01950510 (EEOC 1995).
- Although the defendant employer in *Davis v. Odeco, Inc.*, [94 FEOR 90011](#), 18 F.3d 1237 (5th Cir. 1994) paid 95 percent of the employee's health insurance premium, the Circuit Court noted the policy covered only nonwork-related illness and injury. The Circuit Court concluded that the defendant employer provided the health insurance as a benefit, not as a means to limit its legal liability, and ruled that no offset should be permitted.
- To determine whether the collateral source rule applies, the EEOC considers factors such as whether the source of the benefit is "separate and distinct" from general government funds; whether the complainant contributes to the benefits; whether the benefit is a "fringe benefit" or the agency's attempt to limit liability; and whether the employee received them while working. *Clark v. Department of Veterans Affairs*, [110 LRP 75542](#), EEOC No. 0120092454 (EEOC OFO 2010).

- The complainant sought the application of the collateral source rule for the first time on appeal. The EEOC found no precedent or regulation that would preclude him from doing so and awarded him \$5,151.60 as full reimbursement for his past psychotherapy costs, not just his out-of-pocket expenses. *Jeffrey R. v. U.S. Postal Service*, [121 LRP 33056](#), EEOC No. 2020002824 (EEOC OFO 2021).
- The EEOC was unable to determine the complainant's pecuniary damages because the evidence did not indicate whether her bills were paid by a collateral source or not. Accordingly, it denied her pecuniary damages. *Bess v. U.S. Postal Service*, [106 LRP 6854](#), EEOC No. 07A60001 (EEOC OFO 2006).

Health insurance payments

- An agency official subjected the complainant to sex discrimination and reprisal when she manipulated the selection process to ensure he was not selected for a manager position despite being the most qualified and when she created a hostile work environment for the men in the division. The complainant was awarded \$300,000 in nonpecuniary damages for the severe and long-lasting impact on his health and career. The EEOC found the collateral source rule applied such that the complainant was entitled to \$154,607.49 in past pecuniary damages for his medical expenses even though some of the expenses were covered by insurance. *Miquel G. v. Department of Transportation, Research and Innovative Technology Administration*, [121 LRP 32893](#), EEOC No. 2019002129 (EEOC OFO 2021).
- An administrative judge properly applied the collateral source rule in awarding the complainant the full amount of her claim for medical bills incurred for conditions caused by the agency's discrimination even though some of the expenses were paid for by her insurer. *Jasmine Y. v. Department of the Army*, [118 LRP 37310](#), EEOC No. 0120171163 (EEOC OFO 2018).
- The agency improperly reduced the complainant's requested out-of-pocket costs by the amount her health insurance company paid. Under the collateral source rule, the complainant was entitled to full reimbursement for her medical costs. *Stephanie A. v. Department of Defense, Defense Intelligence Agency*, [118 LRP 25830](#), EEOC No. 0120161052 (EEOC OFO 2018).
- Although the agency paid a substantial share of the complainant's health insurance premium, the actual funds disbursed to pay her expenses were "overwhelmingly those of the insurance company, as contributed by not just the agency, but [the complainant] and countless other insureds." Accordingly, the agency was liable for all of the complainant's medical expenses. *Wallis v. U.S. Postal Service*, [96 FEOR 3044](#), EEOC No. 01950510 (EEOC 1995).
- Pursuant to the collateral source rule, the complainant was entitled to the full amount of her incurred expenses, even if some or all of her expenses were paid by her health insurance. The agency was not allowed to use funds distributed by her health insurance to offset an award of damages. *Hensley v. Tennessee Valley Authority*, [109 LRP 728](#), EEOC No. 0120072458 (EEOC OFO 2008).
- Under the collateral source rule, the agency was required to pay the complainant the actual cost of the prescribed psychotropic medications for stress symptoms related to the agency's harassment, not just the amount of the complainant's co-payment under his insurance plan. *Miller v. Department of the Treasury*, [106 LRP 24409](#), EEOC No. 01A60181 (EEOC OFO 2006).
- The EEOC will not apply the collateral source rule unless the prevailing complainant requests reimbursement for all of the costs involved. Because the complainant only sought reimbursement for the co-payments he paid in connection with medical treatment and prescriptions, the agency properly reimbursed him for those co-payments, but not for the entire cost of his medical expenses. *Butler v. Department of Agriculture*, [99 FEOR 3232](#), EEOC No. 01971729 (EEOC 1999).
- Because the complainant did not request the application of the collateral source rule or provide any information concerning the prescription expenses paid by her health insurer, she was entitled only to the \$42 in co-payments she made for the medical prescriptions she required for emotional distress. *Kelly v. Department of Veterans Affairs*, [98 FEOR 3295](#), EEOC No. 01951729 (EEOC 1998).
- In *Wooten v. Department of Agriculture*, [98 FEOR 3005](#), EEOC No. 01960727 (EEOC 1997), the complainant did not specifically request the application of the collateral source rule. Nevertheless, the EEOC applied the rule, perhaps because the complainant submitted complete evidence of her medical expenses rather than submitting evidence only of her out-of-pocket expenses.
- **Hadley:** Application of the collateral source rule does not result in double recovery for the complainant because the health care provider may recover from the complainant the monies it expended. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Collateral Source Rule](#), citing *Rivers v. Department of the Treasury*, [2002 LRP 141](#), EEOC No. 01992843 (EEOC OFO 2002); see also *Ward-Jenkins v. Department of Interior*, [99 FEOR 3198](#), EEOC No. 01961483 (EEOC 1999).

Medical expenses

- **Hadley:** Medical expenses are recoverable as part of a compensatory damage award. See [42 USC Section 1981a](#) (b). Depending on the source of such payments, an agency may be entitled to an offset against a medical expense damage award if the complainant has otherwise received payment of medical expenses. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Collateral Source Rule](#).

Unemployment benefits

- Applying the collateral source rule, the EEOC found that the agency improperly deducted unemployment compensation from the complainant's back pay award. *Woodrow B. v. Department of Housing and Urban Development*, [116 LRP](#)

[22968](#), EEOC No. 0120143194 (EEOC OFO 2016).

- An agency may not deduct unemployment compensation from a successful complainant's back pay award. *Aponte v. Department of Homeland Security, Immigration and Customs Enforcement Agency*, [108 LRP 35469](#), EEOC No. 0120063532 (EEOC OFO 2008).
- Unemployment benefits, which result from the agency having paid an insurance premium, may not be used to offset the amount of back pay to which a successful EEO complainant is entitled. *See Dana v. U.S. Postal Service*, [93 FEOR 3298](#), EEOC No. 01921641 (EEOC 1993).

Workers' compensation benefits

- "[M]edical expenses paid by the Office of Workers' Compensation Program (OWCP) are not a source of funds collateral to the agency, and may be deducted from past and future pecuniary damages." *Bess v. U.S. Postal Service*, [106 LRP 6854](#), EEOC No. 07A60001 (EEOC OFO 2006).
- **Hadley:** In making an award of future pecuniary damages, allowance must be made for the continuation of FECA medical benefits. The agency is entitled to deduct such benefits from the future pecuniary damage award. *Hadley Guide to Federal Sector Equal Employment Law and Practice: FECA Claims*, citing *Cook v. U.S. Postal Service*, [98 FEOR 3266](#), EEOC No. 01950027 (EEOC 1998).
- Although the complainant sought psychotherapy as a result of an unchecked hostile work environment that left her temporarily unable to work, the agency was not required to pay her medical expenses because they were covered by the Office of Workers' Compensation Programs, and the agency was required to reimburse the OWCP. *Finlay v. U.S. Postal Service*, [97 FEOR 3144](#), EEOC No. 01942985 (EEOC 1997).

Disability retirement payments

- The agency improperly deducted disability retirement payments received by the complainant from his back pay award. The EEOC cited Circuit Court decisions applying the collateral source rule based on a determination that an employee contributes to his retirement fund, and also the observation that disability retirement payments are issued to carry out a social policy that is "wholly independent of back pay awards." *Franklin v. U.S. Postal Service*, [103 LRP 4851](#), EEOC No. 04A20006 (EEOC OFO 2003).
- The commission clarified its previous decision and ordered the agency not to deduct from the complainant's back pay award any disability retirement benefits he received between his retirement in 1991 and the date of his reinstatement by the agency. *Savage v. U.S. Postal Service*, [100 FEOR 1184](#), EEOC No. 04990044 (EEOC OFO 2000).

Other Resources

- [Quick Start Guide: Compensatory Damages](#)
- [Quick Start Guide: Pecuniary Damages](#)
- For more guidance, see:
 - [Hadley Guide to Federal Sector Equal Employment Law and Practice: Chapter 20 -- Forms of Relief, Subchapter 05 -- Compensatory Damages, Section M -- Specific Damage Issues, Subsection 40 -- Collateral Source Rule](#)
 - [Hadley Guide to Federal Sector Equal Employment Law and Practice: Chapter 20 -- Forms of Relief, Subchapter 05 -- Compensatory Damages, Section M -- Specific Damage Issues, Subsection 26 -- FECA Claims](#)
 - [Hadley Guide to Federal Sector Equal Employment Law and Practice: Chapter 21 -- Forms of Relief, Subchapter 03 -- Types of Equitable Relief, Section B: Deductions From Back Pay, Subsection 03: Unemployment Compensation](#)

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